

ASE Technology Holding 3711.TW 3711 TT

EQUITY: OSAT

Ongoing earnings upside; Buy and raise TP

TSMC's turning aggressive on CoWoS plan, CPU-driven FOCoS business upside, and further price hikes possible; Buy

Raise TP to TWD730 and maintain Buy, implying 16% upside

Along with our in-depth analysis of ASIC/CPU's and revised CoWoS forecasts in our *AI Semi and Server Anchor report*, we update our model assumptions for ASE Technology. As we believe TSMC has outsourced most of its oS business to ASE group, ASE should be a direct beneficiary of the revised expansion plan of TSMC. We believe the oS business will still contribute more than half of ASE's LEAP (leading-edge advanced packaging) revenue in FY26F/27F, accounting for 59%/51% of LEAP in these two years. However, we see clear upside potential for its full process platform as well. Also, in our *AI Semi and Server Anchor report* we provided a detailed analysis on AMD's (AMD US, Not rated) Venice CPU architecture, which we expect to be a major product utilizing ASE's FOCoS-B technology. According to our estimates, full-process could contribute 10%/20% of ASE's LEAP revenue in 2026F/27F. To sum up, we provide a simple simulation for ASE's LEAP revenue in *Fig. 1*, where we suggest overall LEAP revenue to contribute USD3.5bn/6.9bn, accounting for 33%/41% of ASE's total IC ATM revenue (in USD terms) in 2026F/27F. Coupled with 0-5% y-y revenue growth for non-LEAP IC ATM revenue and 5-10% y-y growth for the EMS segment, we model ASE's total revenue to grow by 26%/19% in 2026F/27F and tentatively assume 15% y-y revenue growth in 2028F. We also expect margin expansion to continue on optimization of product portfolio and operating leverage, collectively contributing 12% of our 2027F EPS estimate hike. Our new TP of TWD730 is based on 25x 2027-28F average EPS (from 2027F EPS and TWD575 TP) and unchanged target P/E of 25x (at the high-end of its historical range). The stock currently trades at 21.7x 2027-28F average EPS. We maintain our Buy rating.

Can the share price uptrend sustain?

In Oct-2025, we upgraded ASE from Neutral to Buy (*report*), citing reasons such as share price underperformance (at that time), ASE becoming a prime gainer from TSMC's oS outsourcing, improving product mix and negotiation power. We maintain our positive view, given ASE's revenue, margin and capex growth acceleration (*report*), and we also see consensus earnings estimate hikes over the past one year (*Fig. 10*). ASE's share price has outperformed major indices and peers since Oct-25 (up 155% vs. TAIEX up 58%, *Fig. 7*), but we expect the stock to extend the rally on potential upside from its full process platform. We believe ASE is also at the forefront to gain from the value of latest technologies such as panel level packaging and CPO, which we believe are currently understated and difficult to quantify, but could have significant upside potential.

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F	
Currency (TWD)	Actual	Old	New	Old	New	Old	New	
Revenue (mn)	645,388	807,643	810,252	911,129	962,066	0	1,104,144	
Reported net profit (mn)	40,658	76,796	77,181	100,489	112,329	0	142,358	
Normalised net profit (mn)	40,658	76,796	77,181	100,489	112,329	0	142,358	
FD normalised EPS	9.37	17.56	17.65	22.98	25.69		32.55	
FD norm. EPS growth (%)	24.5	87.5	88.4	30.9	45.5		26.7	
FD normalised P/E (x)	67.5	—	35.8	—	24.6	—	19.4	
EV/EBITDA (x)	25.9	—	18.5	—	14.4	—	11.9	
Price/book (x)	7.5	—	6.8	—	6.0	—	5.3	
Dividend yield (%)	1.0	—	2.0	—	2.9	—	3.7	
ROE (%)	11.3	19.6	19.7	23.2	25.6		28.6	
Net debt/equity (%)	43.5	63.4	63.2	73.6	69.8		62.8	

Source: Company data, Nomura estimates

Rating Remains **Buy**

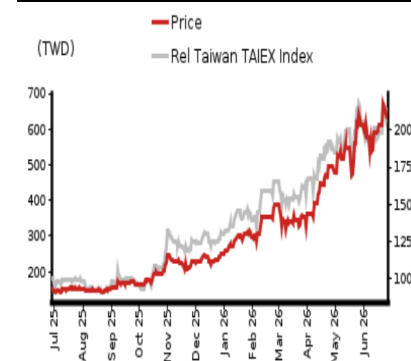
Target price Increased from TWD 575.00 **TWD 730.00**

Closing price 26 June 2026 **TWD 632.00**

Implied upside **+15.5%**

Market Cap (USD mn) 88,408.1
ADT (USD mn) 430.7

Relative performance chart



Source: LSEG, Nomura

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Key data on ASE Technology Holding

Performance

(%)	1M	3M	12M		
Absolute (TWD)	3.4	76.0	314.4	M cap (USDmn)	88,408.1
Absolute (USD)	2.1	76.2	277.1	Free float (%)	89.4
Rel to Taiwan	1.0	42.3	216.3	3-mth ADT (USDmn)	430.7
TAIEX Index					

Income statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	595,410	645,388	810,252	962,066	1,104,144
Cost of goods sold	-498,478	-531,195	-639,465	-735,642	-827,043
Gross profit	96,932	114,193	170,787	226,424	277,101
SG&A	-57,765	-63,437	-76,217	-86,811	-99,241
Employee share expense					
Operating profit	39,166	50,756	94,571	139,612	177,859
EBITDA	95,162	114,363	165,146	217,245	263,255
Depreciation	-55,995	-63,607	-70,575	-77,633	-85,396
Amortisation					
EBIT	39,166	50,756	94,571	139,612	177,859
Net interest expense	-4,881	-5,624	-7,266	-10,044	-11,636
Associates & JCEs	1,716	933	1,042	1,045	1,066
Other income	5,682	5,236	7,140	7,106	7,115
Earnings before tax	41,683	51,301	95,486	137,719	174,405
Income tax	-7,758	-9,460	-16,916	-23,875	-30,400
Net profit after tax	33,926	41,841	78,570	113,844	144,005
Minority interests	-1,443	-1,182	-1,389	-1,514	-1,648
Other items					
Preferred dividends					
Normalised NPAT	32,482	40,658	77,181	112,329	142,358
Extraordinary items					
Reported NPAT	32,482	40,658	77,181	112,329	142,358
Dividends	-23,034	-29,438	-55,882	-81,331	-103,072
Transfer to reserves	9,448	11,220	21,299	30,999	39,286

Valuations and ratios

Reported P/E (x)	84.0	67.5	35.8	24.6	19.4
Normalised P/E (x)	84.0	67.5	35.8	24.6	19.4
FD normalised P/E (x)	84.0	67.5	35.8	24.6	19.4
Dividend yield (%)	0.8	1.0	2.0	2.9	3.7
Price/cashflow (x)	30.1	19.3	18.8	15.0	12.6
Price/book (x)	8.1	7.5	6.8	6.0	5.3
EV/EBITDA (x)	30.3	25.9	18.5	14.4	11.9
EV/EBIT (x)	71.8	57.7	32.2	22.4	17.6
Gross margin (%)	16.3	17.7	21.1	23.5	25.1
EBITDA margin (%)	16.0	17.7	20.4	22.6	23.8
EBIT margin (%)	6.6	7.9	11.7	14.5	16.1
Net margin (%)	5.5	6.3	9.5	11.7	12.9
Effective tax rate (%)	18.6	18.4	17.7	17.3	17.4
Dividend payout (%)	70.9	72.4	72.4	72.4	72.4
ROE (%)	9.8	11.3	19.7	25.6	28.6
ROA (pretax %)	6.5	7.1	10.7	13.2	14.9

Growth (%)

Revenue	2.3	8.4	25.5	18.7	14.8
EBITDA	0.7	20.2	44.4	31.5	21.2
Normalised EPS	1.8	24.5	88.4	45.5	26.7
Normalised FDEPS	1.8	24.5	88.4	45.5	26.7

Source: Company data, Nomura estimates

Cashflow statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	95,162	114,363	165,146	217,245	263,255
Change in working capital	23,437	3,377	-4,537	-5,580	-4,924
Other operating cashflow	-27,811	24,510	-13,603	-27,214	-39,763
Cashflow from operations	90,788	142,249	147,005	184,451	218,569
Capital expenditure	-79,522	-164,643	-272,091	-280,000	-228,004
Free cashflow	11,266	-22,393	-125,086	-95,549	-9,435
Reduction in investments	-12,870	-3,133	6,490	-1,045	-1,066
Net acquisitions	0	0	0	0	0
Dec in other LT assets	-23,788	-5,957	62,624	88,000	88,004
Inc in other LT liabilities					
Adjustments	32,271	8,088	0	0	0
CF after investing acts	6,879	-23,395	-55,972	-8,593	77,503
Cash dividends	-22,459	-23,034	-29,438	-55,882	-81,331
Equity issue	0	0	0	0	0
Debt issue	22,605	61,214	67,132	82,899	74,286
Convertible debt issue					
Others	2,183	1,191	-11,892	-1,610	-1,744
CF from financial acts	2,329	39,371	25,801	25,407	-8,788
Net cashflow	9,208	15,976	-30,171	16,813	68,715
Beginning cash	67,285	76,493	92,469	62,298	79,112
Ending cash	76,493	92,469	62,298	79,112	147,826
Ending net debt	117,107	162,346	259,648	325,733	331,304

Balance sheet (TWDmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	76,493	92,469	62,298	79,112	147,826
Marketable securities	8,391	7,754	5,357	6,803	12,711
Accounts receivable	116,315	127,542	162,068	191,772	213,834
Inventories	61,181	69,383	88,166	104,325	116,326
Other current assets	12,905	16,648	21,154	25,031	27,911
Total current assets	275,285	313,795	339,043	407,042	518,609
LT investments	57,173	60,306	53,815	54,860	55,926
Fixed assets	312,531	421,115	560,007	674,375	728,979
Goodwill					
Other intangible assets					
Other LT assets	95,708	94,118	94,118	94,118	94,118
Total assets	740,698	889,333	1,046,984	1,230,394	1,397,631
Short-term debt	53,872	40,734	57,795	67,474	72,322
Accounts payable	78,221	88,754	110,939	128,349	140,500
Other current liabilities	98,847	114,861	145,955	172,706	192,574
Total current liabilities	230,940	244,349	314,689	368,528	405,395
Long-term debt	139,728	214,081	264,151	337,370	406,809
Convertible debt					
Other LT liabilities	24,243	57,536	57,536	57,536	57,536
Total liabilities	394,911	515,966	636,376	763,435	869,741
Minority interest					
Preferred stock					
Common stock	44,153	44,480	44,480	44,480	44,480
Retained earnings	123,947	140,171	187,818	244,170	305,101
Proposed dividends					
Other equity and reserves	177,687	188,717	178,310	178,310	178,310
Total shareholders' equity	345,787	373,368	410,607	466,959	527,890
Total equity & liabilities	740,698	889,333	1,046,984	1,230,394	1,397,631

Liquidity (x)

Current ratio	1.19	1.28	1.08	1.10	1.28
Interest cover	8.0	9.0	13.0	13.9	15.3

Leverage

Net debt/EBITDA (x)	1.23	1.42	1.57	1.50	1.26
Net debt/equity (%)	33.9	43.5	63.2	69.8	62.8

Per share

Reported EPS (TWD)	7.52	9.37	17.65	25.69	32.55
Norm EPS (TWD)	7.52	9.37	17.65	25.69	32.55
FD norm EPS (TWD)	7.52	9.37	17.65	25.69	32.55
BVPS (TWD)	78.32	83.94	92.31	104.98	118.68
DPS (TWD)	5.18	6.62	12.56	18.28	23.17

Activity (days)

Days receivable	70.9	69.0	65.2	67.1	67.2
Days inventory	45.6	44.9	45.0	47.8	48.8
Days payable	54.4	57.4	57.0	59.4	59.5
Cash cycle	62.1	56.4	53.2	55.5	56.6

Source: Company data, Nomura estimates

Company profile

ASEH is one of the world's largest OSAT players. Established in 1984, ASE Group specialises in providing semiconductor packaging and testing services. In 2016, ASE Group and SPIL announced a merger and founded ASEH. Currently, ASEH's members include ASE Group, SPIL and USI.

Valuation Methodology

Our TP of TWD730.00 is based on 25x average 2027-28F EPS. Our target P/E of 25x is at the high-end of its historical range. The benchmark index for the stock is TWSE index.

Risks that may impede the achievement of the target price

Downside risks: 1) AI hardware chip demand sustainability; 2) ASE's execution on if they can deliver good-enough yield for CoW process.

ESG

ASEH manages its corporate social responsibility by focusing on six dimensions: stakeholder engagement, sustainability governance, green transformation, inclusive workspace, responsible procurement and corporate citizenship. The company sets water- saving milestones and establishes low-carbon plants in practice.

LEAP to drive revenue upside into 2027F along with a better margin profile

We provide a simple simulation of ASE's LEAP business: we assume the oS business to continue growing along with TSMC's CoWoS expansion plan, accounting for more than half of ASE's LEAP revenue in 2026-27F. Full process revenue will likely record strong growth momentum in conjunction with AMD's Venice CPU ramp-up. On the testing side, ASE is one of the key beneficiaries of TSMC's testing outsourcing activities, mainly on the CP part. We also believe ASE is providing FT services for some key ASICs.

We estimate LEAP revenue to grow from USD3.5 bn in 2026F to USD6.9 in 2027F. Given the LEAP business is margin-accretive, we expect continued margin expansion.

Fig. 1: ASE's LEAP revenue breakdown and forecasts

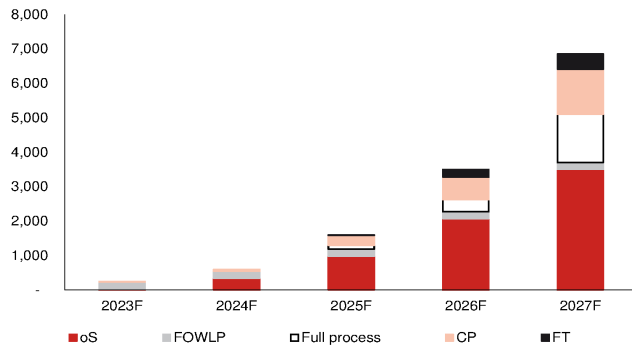
LEAP revenue	2023F	2024F	2025F	2026F	2027F
Packaging (USDmn)*	230	550	1,300	2,625	
Packaging as % of LEAP	92%	92%	81%	75%	74%
oS (outsourcing business) - we do not assume any CoW outsourcing from TSMC					
Total oS as % of LEAP packaging	13%	64%	76%	79%	69%
Total oS as % of LEAP	12%	58%	61%	59%	51%
Total TSMC CoWoS output, NMRe	120	321	624	1,092	1,845
y-y		169%	94%	75%	69%
Revenue contribution (USDmn)	30	350	983	2,075	3,507
y-y		1067%	181%	111%	69%
FOWLP					
% of LEAP packaging	87%	36%	15%	8%	4%
% of LEAP	80%	33%	13%	6%	3%
Revenue contribution (USDmn)	200	200	200	200	200
Full process					
% of LEAP packaging	0%	0%	9%	13%	27%
% of LEAP	0%	0%	7%	10%	20%
Revenue contribution (USDmn)	-	-	117	350	1,400
y-y				200%	300%
Total LEAP packaging	230	550	1,300	2,625	5,107
y-y		139%	136%	102%	95%
Testing (USDmn)*	20	50	300	875	
Testing as % of LEAP	8%	8%	19%	25%	26%
CP					
CP as % of LEAP testing	100%	100%	95%	75%	75%
CP as % of LEAP	8%	8%	18%	19%	19%
Revenue contribution (USDmn)	20	50	285	656	1,313
y-y		150%	470%	130%	100%
FT					
FT as % of LEAP testing	0%	0%	5%	25%	25%
FT as % of LEAP	0%	0%	1%	6%	6%
Revenue contribution (USDmn)	-	-	15	219	438
y-y				1358%	100%
Total LEAP testing	20	50	300	875	1,750
y-y		150%	500%	192%	100%
Total LEAP revenue (USDmn)	250	600	1,600	3,500	6,857
y-y		140%	167%	119%	96%

Note: *incorporates company guidelines

Source: Company data, Nomura estimates

Fig. 2: ASE's LEAP revenue

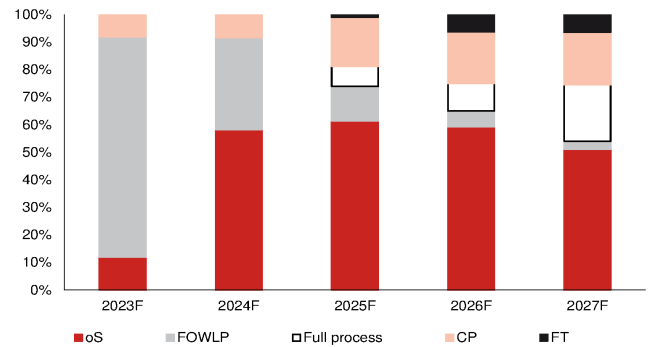
USDmn



Source: Company data, Nomura estimates

Fig. 3: ASE's LEAP revenue

%



Source: Company data, Nomura estimates

Financial analysis and forecasts

Fig. 4: ASE's 2026-27F forecast revisions

(TWD mn)	2026F			2027F		
	Revised	Previous	Change	Revised	Previous	Change
Net sales	810,252	807,643	0.3%	962,066	911,129	5.6%
Gross profit	170,787	170,042	0.4%	226,424	207,818	9.0%
Operating profit	94,571	94,104	0.5%	139,612	125,259	11.5%
Net profit	77,181	76,796	0.5%	112,329	100,489	11.8%
EPS (TWD)	17.65	17.56	0.5%	25.69	22.98	11.8%
Margin	Revised	Previous	Change	Revised	Previous	Change
Gross margin (%)	21.1	21.1	0.0 pp	23.5	22.8	0.7 pp
Operating margin (%)	11.7	11.7	0.0 pp	14.5	13.7	0.8 pp
Net margin (%)	9.5	9.5	0.0 pp	11.7	11.0	0.6 pp

Source: Company data, Nomura estimates

Fig. 5: ASEH's P&L

(TWDmn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Net sales	148,153	150,750	168,569	177,915	173,662	188,873	221,638	226,079	209,857	224,273	260,422	267,514	645,388	810,252	962,066	1,104,144
Gross profit	24,893	25,688	28,877	34,736	34,850	38,979	47,321	49,638	49,149	52,328	60,507	64,440	114,193	170,787	226,424	277,101
- OPEX	(15,221)	(15,494)	(15,676)	(17,045)	(17,318)	(18,225)	(20,210)	(20,463)	(19,396)	(20,697)	(22,928)	(23,791)	(63,437)	(76,217)	(86,811)	(99,241)
Operating profit	9,671	10,193	13,201	17,690	17,532	20,753	27,111	29,175	29,753	31,630	37,579	40,649	50,756	94,571	139,612	177,859
Net profit	7,554	7,521	10,870	14,714	14,148	17,176	22,197	23,660	23,924	25,607	30,242	32,556	40,658	77,181	112,329	142,358
EPS (TWD)	1.75	1.74	2.50	3.39	3.24	3.93	5.08	5.41	5.47	5.86	6.92	7.44	9.37	17.65	25.69	32.55
Profitability	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Gross margin	16.8%	17.0%	17.1%	19.5%	20.1%	20.6%	21.4%	22.0%	23.4%	23.3%	23.2%	24.1%	17.7%	21.1%	23.5%	25.1%
- OPEX ratio	(10.3%)	(10.3%)	(9.3%)	(9.6%)	(10.0%)	(9.6%)	(9.1%)	(9.1%)	(9.2%)	(9.2%)	(8.8%)	(8.9%)	(9.8%)	(9.4%)	(9.0%)	(9.0%)
Operating margin	6.5%	6.8%	7.8%	9.9%	10.1%	11.0%	12.2%	12.9%	14.2%	14.1%	14.4%	15.2%	7.9%	11.7%	14.5%	16.1%
Net margin	5.1%	5.0%	6.4%	8.3%	8.1%	9.1%	10.0%	10.5%	11.4%	11.4%	11.6%	12.2%	6.3%	9.5%	11.7%	12.9%
Q-Q	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Net sales	(8.7%)	1.8%	11.8%	5.5%	(2.4%)	8.8%	17.3%	2.0%	(7.2%)	6.9%	16.1%	2.7%				
Gross profit	(6.5%)	3.2%	12.4%	20.3%	0.3%	11.8%	21.4%	4.9%	(1.0%)	6.5%	15.6%	6.5%				
Operating profit	(13.7%)	5.4%	29.5%	34.0%	(0.9%)	18.4%	30.6%	7.6%	2.0%	6.3%	18.8%	8.2%				
Net profit	(18.9%)	(0.4%)	44.5%	35.4%	(3.8%)	21.4%	29.2%	6.6%	1.1%	7.0%	18.1%	7.7%				
Y-Y	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Net sales	11.6%	7.5%	5.3%	9.6%	17.2%	25.3%	31.5%	27.1%	20.8%	18.7%	17.5%	18.3%	8.4%	25.5%	18.7%	14.8%
Gross profit	19.6%	11.4%	9.3%	30.4%	40.0%	51.7%	63.9%	42.9%	41.0%	34.2%	27.9%	29.8%	17.8%	49.6%	32.6%	22.4%
- OPEX			4.8%	10.5%	13.8%	17.6%	28.9%	20.1%	12.0%	13.6%	13.4%	16.3%	9.8%	20.1%	13.9%	14.3%
Operating profit	29.3%	13.2%	15.1%	57.8%	81.3%	103.6%	105.4%	64.9%	69.7%	52.4%	38.6%	39.3%	29.6%	86.3%	47.6%	27.4%
Net profit	33.5%	(3.3%)	11.7%	58.0%	87.3%	128.4%	104.2%	60.8%	69.1%	49.1%	36.2%	37.6%	25.2%	89.8%	45.5%	26.7%

Source: Company data, Nomura estimates

Fig. 6: Nomura forecasts vs Bloomberg consensus for 2026-2028F

(TWD mn)	2026F			2027F			2028F		
	NMR	BBG	Diff (%)	NMR	BBG	Diff (%)	NMR	BBG	Diff (%)
Sales	810,252	785,058	3.2	962,066	968,922	(0.7)	1,104,144	1,090,842	1.2
Gross profit	170,787	165,325	3.3	226,424	226,660	(0.1)	277,101	268,467	3.2
Operating profit	94,571	92,528	2.2	139,612	147,237	(5.2)	177,859	197,031	(9.7)
Net profit	77,181	74,125	4.1	112,329	116,821	(3.8)	142,358	141,942	0.3
EPS (TWD)	17.65	16.43	7.4	25.69	25.95	(1.0)	32.55	31.28	4.1
Margin	NMR	BBG	Diff (pp)	NMR	BBG	Diff (pp)	NMR	BBG	Diff (pp)
Gross margin (%)	21.1	21.1	0.0	23.5	23.4	0.1	25.1	24.6	0.5
Operating margin (%)	11.7	11.8	(0.1)	14.5	15.2	(0.7)	16.1	18.1	(2.0)
Net margin (%)	9.5	9.4	0.1	11.7	12.1	(0.4)	12.9	13.0	(0.1)

Source: Company data, Bloomberg consensus, Nomura estimates

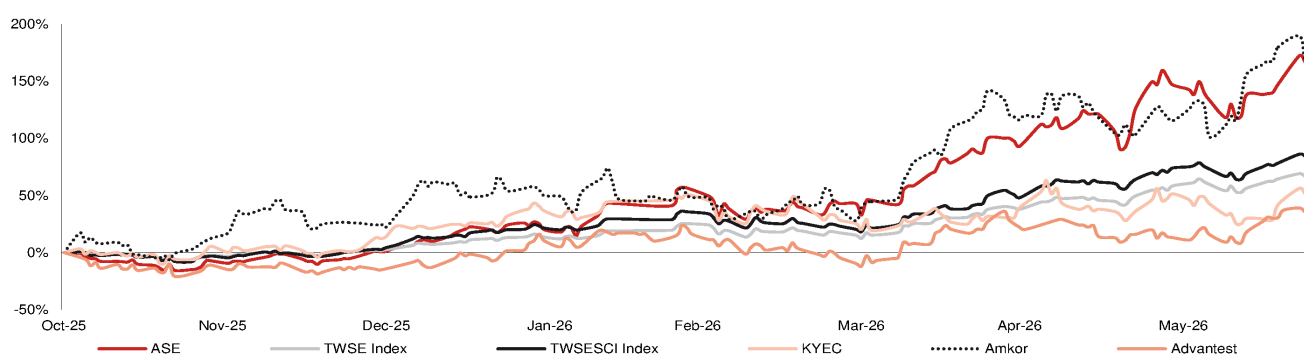
Valuation methodology and risks

Our new TP of TWD730.00 is based on 25x average 2027-28F EPS. Our target P/E of 25x (unchanged) is at the high-end of its historical range.

Downside risks: 1) AI hardware chip demand sustainability; and 2) ASE's execution on if the company can deliver good-enough yield for the CoW process.

Fig. 7: Share price performance of major indices and industry peers

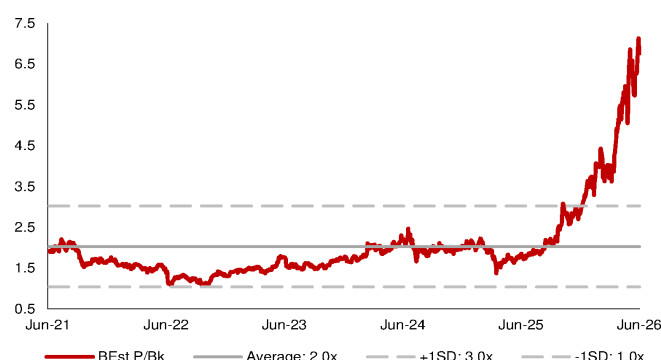
ASE share price has outperformed since Oct-25



Source: Bloomberg Finance L.P., Nomura research

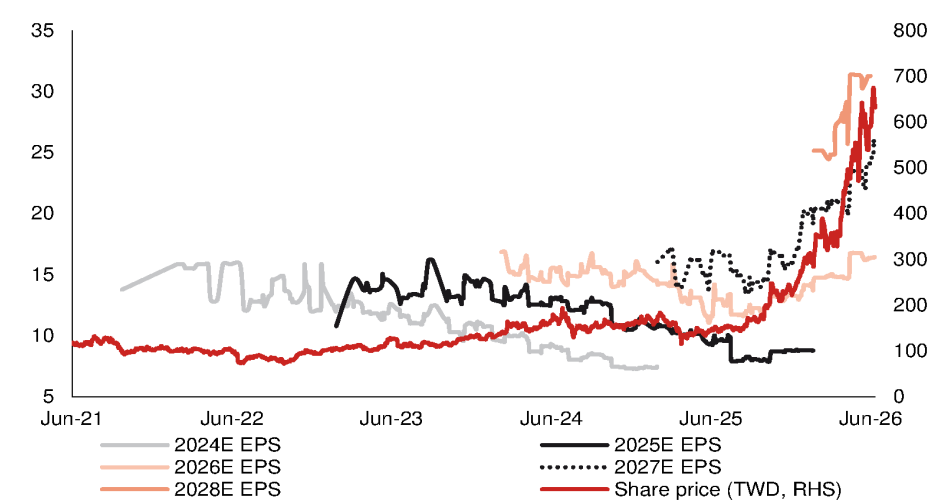
Fig. 8: ASEH's 5-year consensus P/E

Source: Bloomberg Finance L.P. consensus, Nomura research

Fig. 9: ASEH's 5-year consensus P/B

Source: Bloomberg Finance L.P. consensus, Nomura research

Fig. 10: ASEH's share price vs Bloomberg consensus EPS revisions



Source: Company data, Bloomberg Finance L.P., Nomura research

Appendix A-1

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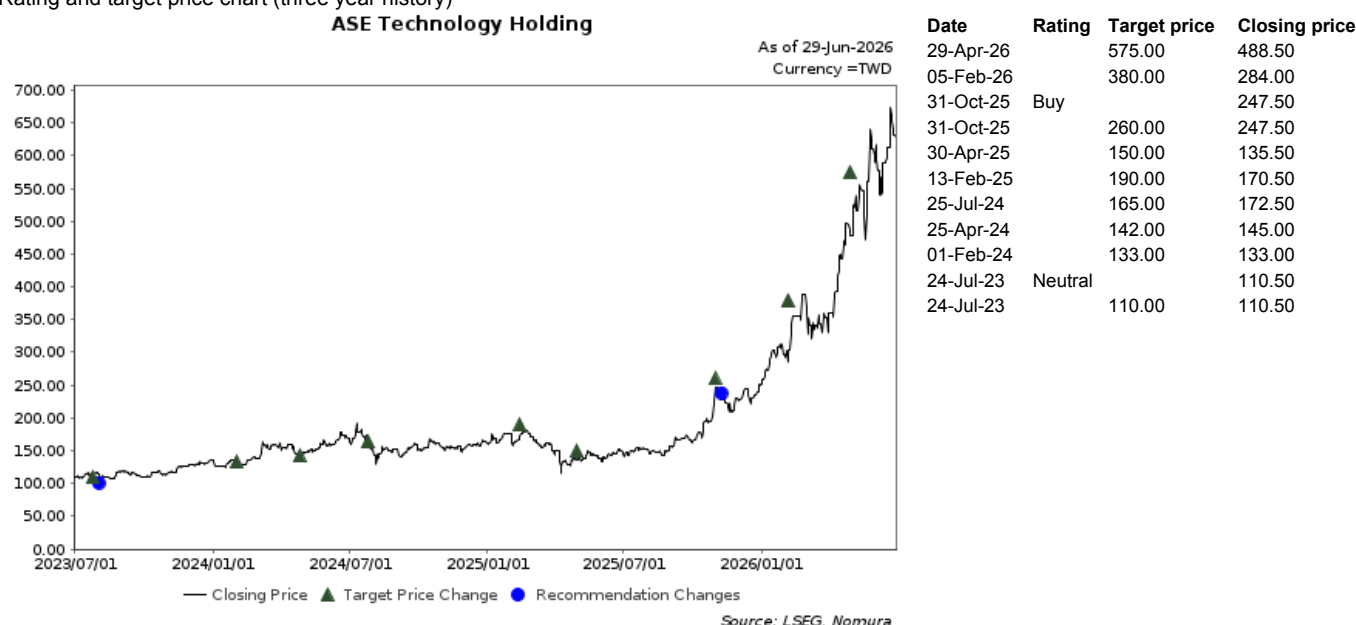
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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
ASE Technology Holding	3711 TT	TWD 632.00	26-Jun-2026	Buy	N/A	

ASE Technology Holding (3711 TT)

TWD 632.00 (26-Jun-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of TWD730.00 is based on 25x average 2027-28F EPS. Our target P/E of 25x is at the high-end of its historical range. The benchmark index for the stock is TWSE index.

Risks that may impede the achievement of the target price Downside risks: 1) AI hardware chip demand sustainability; 2) ASE's execution on if they can deliver good-enough yield for CoW process.

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As at 31 March 2026.

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